

FORM TP 2011228



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MAY/JUNE 2011

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2 – PAPER 02

2½ hours

26 MAY 2011 (p.m.)

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C.E.S.E.C.

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Luke Lloyd is the Chief Executive Officer, (CEO) of Lloyd Electronics Ltd. He has been asked by his Board of Directors to recommend quality control measures to improve the company's operation. He is contemplating introducing Total Quality Management (TQM) as well as Just-in-Time (JIT) operations to make inventory control more efficient.

~~(a)~~ (i) Define the term 'Total Quality Management' (TQM). [2 marks]

(ii) Discuss THREE potential benefits and ONE potential drawback that Lloyd Electronics Ltd. may experience from implementing the TQM approach in its business. [16 marks]

(b) (i) State TWO features of 'Just-in-Time operations' and explain how it is related to TQM. [5 marks]

(ii) State TWO likely benefits for Lloyd Electronics from the implementation of an efficient inventory control system. [2 marks]

Total 25 marks

2. You are given the following information about the daily operations of XYZ Garment Factory:

360 garments produced at a standard price of \$100 EACH

Labour cost \$ 600

Material cost \$1 600

Overhead cost \$1 000

(a) Calculate the labour productivity of XYZ Garment Factory. [4 marks]

(b) Identify FIVE factors that may impact negatively on the productivity of XYZ Garment Factory. [5 marks]

(c) Discuss FOUR methods of improving productivity at XYZ Garment Factory. [16 marks]

Total 25 marks

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SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. Logic Marketing Research Inc. has been hired to conduct a market research project for PPC-TV, a TV company that was recently incorporated. The TV Company wants to investigate consumer preferences for types of programmes as well as the times that the programmes are broadcast. The research director is wondering whether secondary data for this project might exist or whether primary data need to be collected.

- (a) (i) Define the term 'market research'. [2 marks]
- (ii) Discuss THREE reasons why it is important for PPC-TV to conduct market research. [12 marks]
- (b) Distinguish between primary and secondary data and state the MOST appropriate source of primary data for this project. [3 marks]
- (c) State TWO advantages and TWO disadvantages of using EACH of the following methods of conducting market research for PPC-TV.
 - (i) Personal interviews
 - (ii) Telephone interviews [8 marks]

Total 25 marks

4. Silk Fashions specializes in the designing of a wide range of clothing. They plan on testing market reaction to their range of clothing using focus group methodology, before embarking on market segmentation.

- (a) State THREE features of the focus group methodology. [6 marks]
- (b) Discuss THREE advantages that Silk Fashions could realize from segmenting the market. [12 marks]
- (c) (i) Identify THREE primary bases on which Silk Fashions could segment its consumer market. [3 marks]
- (ii) Describe any TWO bases of market segmentation identified in (c) (i) above. [4 marks]

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. Mr. Gravy is an expert on preparing delicious chicken. He is thinking of setting up a barbeque chicken business as a sole trader enterprise, and has approached you for advice. As a management consultant, you are required to advise Mr. Gravy by responding to the following.

- (a) Outline THREE characteristics which Mr. Gravy must possess in order to succeed as an entrepreneur. [6 marks]
- (b) Identify THREE challenges that Mr. Gravy may face as an entrepreneur. [3 marks]
- (c) Outline THREE reasons why Mr. Gravy may need to conduct market research. [6 marks]
- (d) Identify TWO factors that may influence the pricing of his product. [2 marks]
- (e) Discuss TWO factors that may influence the location of his business. [8 marks]

Total 25 marks

6. Pilly has just completed her studies in pharmaceuticals and is contemplating setting up her own pharmacy. She approached the bank for a loan and the bank has asked her to produce a business plan as a prerequisite for the loan.

- (a) Explain what is meant by the term 'business plan'. [3 marks]
- (b) State TWO purposes of a business plan. [4 marks]
- (c) Outline FIVE important steps in the preparation of a business plan. [10 marks]
- (d) Outline ONE legal requirement that Pilly will have to observe in setting up her business. [2 marks]
- (e) Suggest THREE ways in which information technology could assist Pilly in efficiently operating her business. [6 marks]

Total 25 marks

END OF TEST